Transaction 3.8

Q1. Following is the trial balance of Growth & Co for the year ending 31st March 2021, Draft a P&L Statement and Balance Sheet from it.

Particulars	Amt Dr	Amt Cr
Capital		700,000
Cash at Bank	188,000	
Purchases and Sales	400,000	760,000
Returns	14,000	28,000
Taxes and Insurance	6000	
Dividend Received		5,600
Bad debts	1200	
Debtors and Creditors	78,000	44000
Commission		14100
Investment	220,000	
Stock on 1st April 20	56,000	
Furniture	450000	
Bills Receivable/Bills Payable	45000	38000
Salary	34000	
Wages	42000	
Carriage Inward	22000	
Printing & Stationary	3400	
Interest on Investment		23500
Land	53600	
Total	1613200	1613200

Further you are required to make following adjustments:

i. Salary of Rs 4600 are outstanding and Insurance Rs 1400 is prepaid
ii. Commission amounting Rs 2800 has been received in advance for work to be done next year
iii. Provision for doubtful debt to be made at 10%
iv. Depreciate Furniture at 10%
v. Stock on 31st March 18 Rs 45,000